

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-17

BAKERLY, LLC,
COMPLAINANT,
V.
SEAFRIGO USA INC.,
RESPONDENT.

**PETITION OF SEAFRIGO USA INC. FOR
AN AWARD OF ATTORNEY FEES AND COSTS**

Pursuant to 46 U.S.C. § 41305(e) and 46 C.F.R. § 502.254, Respondent Seafrigo USA Inc. (“Seafrigo”) submits this Petition for an Award of Attorney Fees and Costs as the prevailing party in this proceeding.

I. INTRODUCTION

This matter arises out of Bakerly, LLC’s filing of a complaint seeking: 1) a refund of payments it made to Seafrigo, a non-vessel operating common carrier (“NVOCC”), and; 2) a determination that other amounts invoiced to it by Seafrigo were in violation of the Shipping Act. Following the Initial Decision (“I.D.”) of Chief Administrative Law Judge Erin Wirth denying all of Bakery’s claims on January 3, 2024 – on the grounds that Bakerly had failed to establish any Shipping Act violations – Bakerly appealed that decision to the full Commission. The Commission entered an Order on October 30, 2024 denying all of Bakerly’s exceptions. *See* Order Denying Exception and Affirming Initial Decision, Doc. No. 57 (“Order”). As the prevailing party in the proceeding, Seafrigo now seeks to recover its attorneys pursuant to 46 U.S.C. § 41305(e).

II. BACKGROUND

A. Factual Background

Bakerly and Seafrigo had a longstanding relationship whereby Seafrigo provided NVOCC services on behalf of Bakerly dating back to 2015. Order at 3. In this capacity, consistent with the practice in the industry, Seafrigo advanced funds on behalf of Bakerly to terminals and other third parties so as to procure the release of Bakerly's cargo and to reduce the amount of detention and demurrage charges that would otherwise accrue on Bakerly's cargo. *Id.* at 17-18.

The amount of funds advanced on behalf of Bakerly by Seafrigo increased substantially beginning in late 2020 when congestion issues plagued the ocean transportation industry. *Id.* at 4. Although Bakerly paid some of the invoices from Seafrigo, it failed to pay others. Ultimately, the dollar amount of unpaid invoices became so significant that Seafrigo informed Bakerly that it could no longer advance payments to third parties on Bakerly's behalf. *Id.* at 5-6. In a panic, Bakerly pleaded with Seafrigo to continue to do so. *Id.* at 6, 17-18 ("In fact, when Seafrigo notified [Bakerly] that it was going to discontinue advancing the charges on Bakerly's behalf because it was no longer fiscally sustainable and Bakerly should instead pay them up front, Bakerly urged Seafrigo to continue advancing the charges and gave assurances that it would work to make arrangement more stable and fiscally sustainable."). As an accommodation to Bakerly, Seafrigo continued to do so, so as to permit Bakerly to continue to operate, predicated on Bakerly's promises to bring its outstanding invoices current. *Id.*

Despite these promises, Bakerly continued to fail to timely pay Seafrigo's outstanding invoices. *Id.* at 6. Among the justifications Bakerly offered for its failure to pay again was that some invoices were not fully documented. Ultimately, however, Bakerly flatly refused to pay any of the outstanding third-party charges being passed through by Seafrigo because, it now belatedly

contended, detention and demurrage charges were the responsibility of the carrier (Seafrigo) rather than the shipper (Bakerly).

When attempts to resolve the dispute were unsuccessful, Bakerly filed its Complaint seeking an award of \$2,973,475, reflecting (1) a refund of \$973,227.05 for demurrage, and \$278,172.37 for detention, which Bakerly had previously paid to Seafrigo for pass through charges, and (2) a nullification of \$1,384,017.48 for demurrage and \$338,058.39 for detention Seafrigo was demanding from Bakerly. Incredibly, in doing so, Bakerly's Complaint sought to rely upon OSRA 2022 even though many of the claims predated OSRA 2022. Order at 2.

B. Procedural Background

In its Complaint, Bakerly alleged that Seafrigo was contractually responsible for all detention and demurrage charges, while Seafrigo contended that it was only responsible for detention and demurrage charges caused by its own negligence. Order at 1-2. Bakerly also claimed that Seafrigo's pass through charges and billing practices violated 46 U.S.C. §§ 41104(a)(2)(A) and 41102(c). *Id.* at 2. The parties completed dispositive motion briefing on June 14, 2023. Doc. Nos. 35-46.

Chief ALJ Wirth issued the I.D. denying all of Bakerly's claims on January 3, 2024. Doc. No. 52. The I.D. clarified that the Shipping Act does not justify Bakerly's non-payment of the demurrage and detention charges at issue. Doc No. 52 at 66. The I.D. dismissed all claims based on pre-OSRA 2022 amendments not in effect when the claims arose and found that Bakerly failed to prove its remaining claims. Order at 1-2. Bakerly filed its Exceptions to the I.D. on January 25, 2024. Doc. No. 54. Seafrigo filed its Opposition to Bakerly's exceptions on February 15, 2024. Doc No. 55. The Commission denied Bakerly's Exceptions and affirmed the I.D. on October 30, 2024, which decision is now final. Doc. No. 57; 46 C.F.R. § 502.254(b).

The I.D. and Order reflect careful and thorough review of the matters at issue.

In considering Bakerly's Exceptions to the I.D., the Commission recognized that Seafrigo often paid demurrage and detention charges on Bakerly's behalf, for which Bakerly was responsible to reimburse Seafrigo. Order at 5. The Commission further recognized that prior to the global pandemic and the increased congestion arising therefrom, Bakerly had always accepted and paid demurrage and detention charges as its responsibility. *Id.* at 4, 17. Indeed, contemporaneous emails showed that Bakerly accepted that fact and routinely paid such charges. *Id.* The Order further recognized that during the transportation logistics conditions of 2020-2021, Bakerly and Seafrigo corresponded weekly and sometimes daily about the status of arrivals, containers awaiting pick-up at the port, empty containers awaiting return, per diem charges, and other details relating to shipments. *Id.* at 4-5 ("costs spiraled and parties communicated frequently about conditions at the port, at Bakerly's warehouses, and how to coordinate pickups and deliveries to keep delays in check and hold down the escalating demurrage and detention charges"). Seafrigo even attempted to negotiate with the ocean common carriers to waive charges when pick-ups and deliveries were impossible, but they refused that request. *Id.* at 4.

The Commission opinion summarized the situation thus:

The NRA documents assign responsibility to the shipper (Bakerly) for the disputed charges unless they resulted from Seafrigo's failure to exercise due diligence, and the parties' contemporaneous emails show that Bakerly acknowledged and followed those terms until pandemic-related disruptions caused demurrage and detention charges to spike in 2020 and 2021.

Order at 2.

III. LEGAL STANDARD

The prevailing party in a complaint brought under 46 U.S.C. § 41301 may receive an award of reasonable attorney fees. 46 U.S.C. 41305(e). The Commission may award a prevailing respondent reasonable attorney fees upon its petition. 46 C.F.R. § 502.254(a); *see also* FMC Policy

Statement at 3 (“respondent is generally a prevailing party when the presiding officer rebuffs a complainant’s claims.”). A petition for fees must include: (1) explanation why attorney fees should be awarded; (2) the number of hours claimed by each person representing the prevailing party at each identifiable stage of the proceeding and (3) supporting evidence for the reasonableness of the hours claimed and the customary rates charged by attorneys and associated legal representatives in the same community. *Id.* at § 502.254(d)(1). An applicant for an award of fees bears the burden of establishing entitlement to an award, documenting appropriate hours, and justifying the reasonableness of the rates by a preponderance of the evidence. *Edaf v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, Doc. No. 54 at 8 (hereinafter “Edaf Order”) (*aff*’g ALJ award of fees to respondent) (*citing Blum v. Stenson*, 465 U.S. 895 (1984); *Hensley v. Eckerhert*, 461 U.S. 424, 437 (1983)); Policy Statement at 2.

IV. ARGUMENT

A. Seafrigo Is Eligible for an Award of Attorney’s Fees and Has Timely Filed Its Petition.

Seafrigo is eligible for an award of attorney fees because its petition is timely filed and it is the prevailing party. Because the ALJ and Commission rejected *en toto* the relief sought by Bakerly Seafrigo is the prevailing party. *See* 81 Fed. Reg. at 10512 (“The touchstone of the prevailing party inquiry is the material alteration of the legal relationship of the parties in a manner which congress sought to promote in the fee statute.”) (*quoting Tex. State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)); FMC Policy Statement at 3 (“respondent is generally a prevailing party when the presiding officer rebuffs a complainant’s claims.”). A Petition for Attorney Fees is timely if filed within 30 days of a decision becoming final. *Id.* at § 502.254(c)(1). The Commission decision in this case became final for the purpose of attorney fees on December 29, 2024, when the time for judicial review of it passed. *See* 28 U.S.C. §§ 2342(3)(B),

2344 (aggrieved party of a reviewable final order has 60 days to file an appeal). Thus, Seafrigo's Petition for Attorney Fees is timely filed on or before January 28, 2025.

B. Award of Attorney Fees to Seafrigo Is Appropriate.

The Commission has indicated that its primary consideration in assessing the appropriateness of an award for attorneys' fees is whether such an award is consistent with the Shipping Act. *See* Final Rule: Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508, 10515 (Mar. 1, 2016). Any factors relied upon in an individual case must be consistent with the Shipping Act's purposes, which are: (1) the establishment of a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory cost; (2) provision of an efficient and economic transportation system in the ocean commerce of the United States that is in harmony with and responsive to international shipping practices; (3) encouragement of the development of an economically sound and efficient liner fleet of vessels in the United States; and (4) promotion of the growth and development of United States exports. 81 Fed. Reg. at 10514-10515. The Commission has determined that it will be guided by three general principles in identifying the pertinent factors in a given case: (1) there should be no general presumption for or against awarding attorney fees; (2) prevailing complainants and respondents should be treated the same; and (3) parties should be encouraged to litigate meritorious claims and defenses. 81 Fed. Reg. at 10515.

The Commission has determined that attorney fee awards for Shipping Act violations are not limited to exceptional circumstances. *See* 81 Fed. Reg. at 10513 (rejecting comment that attorney fee awards should be the exception not the rule). The Commission has identified a nonexclusive list of possible factors to consider: (1) frivolousness; (2) motivation; (3) objective legal and factual reasonableness; and (4) the need in particular circumstances to advance

considerations of compensation and deterrence. *Edaf* Order at 9 (*citing Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994)).

An award of attorney fees to Seafrigo in this case is appropriate because Bakerly's complaint was frivolous and objectively unreasonable. A claim is objectively unreasonable if it is clearly without merit, "patently devoid" of a legal/factual basis. *See* Policy Statement at 4. Here, Bakerly's claims lacked any legitimate factual basis. The undisputed facts establish that for years Bakerly paid the type of demurrage and detention charges at issue in the Complaint without objection. Order at 2, 4, 17. Indeed, the findings of the I.D. and Order reflect that Seafrigo communicated frequently with Bakerly regarding the status of containers and payment of detention and demurrage charges and that Bakerly repeatedly recognized its obligation to pay same. Order at 4-5. When Seafrigo informed Bakerly that it could not continue to advance such funds on its behalf without being reimbursed, Bakerly did not assert that it had no such obligation; instead it pleaded with Seafrigo to continue advancing such funds on its behalf and promised that it would bring its invoices current. *Id.* at 6, 17-18. Only when the unpaid invoices totaled in excess of \$2,000,000 did Bakerly concoct its wholly unsupported, and specious, argument that the charges were not its responsibility. Of course, the I.D. and the Order easily dispose of such a contention based upon the plain language of the parties' mutually negotiated NRA, the Seafrigo bill of lading terms and conditions, and the plain language of Seafrigo's tariff. Doc. Nos. 52, 57. If Bakerly legitimately believed that detention and demurrage charges were not its responsibility, it would have informed Seafrigo of its position at the time rather than plead with Seafrigo to continue to advance such funds on its behalf. Such a callous disregard for its business partner justifies an award of attorneys' fees on behalf of Seafrigo.

Quite simply, Bakerly's motivation here was to avoid paying charges for which it knew it was responsible. Attorneys' fees are warranted if a party "knowingly gambles on an unreasonable legal theory in order to achieve a secondary gain" such as settlement, harassment, or financial damage to a competitor. Policy Statement at 4 (*citing Logfret, Inc. v. Kirsha, B.V.*, 2 F.M.C.2d 110, 116 (FMC 2020); *Logfret, Inc. v. Kirsha, B.V.*, 2 F.M.C.2d 35, 40 (ALJ 2020)). Here, Bakerly sought to delay payment and force Seafrigo to incur extensive legal fees in order to collect amounts that Bakerly clearly owed. Bakerly needlessly increased the cost of litigation to Seafrigo by insisting on Seafrigo reviewing almost a thousand separate invoices. *See* Affidavit of B. Collins at ¶ 22, attached as Exhibit A. Seafrigo proposed streamlining discovery to reduce costs by focusing only on invoices in excess of \$2,500, which Bakerly refused. *Id.* at ¶ 23. Instead, Bakerly insisted on review of every invoice, no matter how small the amount in dispute, forcing Seafrigo to incur unnecessary and unwarranted legal fees. *Id.* at ¶ 24.

Bakerly compounded its wrongful conduct by refusing to meaningfully engage in mediation. Although mediation was scheduled with CADRS. Bakerly wasted the time of CADRS officials, and imposed unnecessary costs and fees on Seafrigo, by refusing to consider proposals that might have led to a commercial resolution of the dispute. *See Edaf* Order (awarding respondent attorney fees because, among other things, the complaint "perhaps most egregiously, failed to terminate the claim when it could have limited the expense of the Respondents"). Indeed, throughout the case, Bakerly repeatedly promised to engage in settlement discussion at some unspecified time in the future, which future never arrived. Bakerly's refusal to act in good faith is further evidenced by its refusal to engage in settlement communications even after the I.D. made obvious that its position was wholly untenable.

Failure to award fees under these circumstances would be contrary to the legislative purpose.

C. Calculation of Fees

Seafrigo is seeking reimbursement of its legal fees in the amount of \$268,728.00 and expenses of \$1,135.76 incurred by its counsel and support staff at GKG Law. *See* GKG Law Invoices, attached as Exhibit B. These fees are customary in rate and reasonable, as set forth in the attached affidavit of Brendan Collins, GKG Law. *See* Collins Affidavit, attached as Exhibit A.

Here, the hours spent on the matter by Seafrigo counsel were reasonable and necessary. Those hours included a review of extensive documentation extending over a period of multiple years. Collins Aff. at ¶¶ 21-24. GKG had to carefully parse almost a thousand separate invoices in defending the claims asserted by Bakerly, as well as extensive correspondence related to same. *Id.*

Throughout the litigation Seafrigo and its counsel sought to streamline discovery and reduce costs. *Id.* at ¶ 23. As an example, Seafrigo proposed to Bakerly that it would be more economical and efficient for the parties to focus only on invoices in excess of \$2500. *Id.* Although Bakerly initially said it would consider that proposal, ultimately it refused to adopt that approach and insisted on challenging every invoice over a multiple year period. *Id.* at ¶¶ 21-24. Bakerly's insistence on litigating as to every one of almost a thousand separate invoices no matter how small the amount in dispute resulted in Seafrigo having to incur unnecessary legal fees, which fees Seafrigo now seek to recover. *Id.* at ¶¶ 21-24. Bakerly's refusal to engage in good faith mediation also forced Seafrigo to incur the legal fees at issue. *Id.* at ¶ 25.

Seafrigo is therefore entitled to recover \$268,728.00 in attorneys' fees and \$1,135.76 in expenses. *See* GKG Law Invoices, attached Exhibit B.

V. CONCLUSION

WHEREFORE, for all of the reasons previously stated, Seafrigo requests that the Commission grant its Petition for an Award of Attorney Fees.

Dated: January 28, 2025

Respectfully submitted,



Brendan Collins

John H. Kester

GKG Law, P.C.

1055 Thomas Jefferson Street NW

Suite 620

Washington, D.C. 2007

Telephone: (202)342-6793

Facsimile: (202) 342-5299

bcollins@gkglaw.com

jkester@gkglaw.com

Attorneys for Seafrigo USA Inc.

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 28th day of January, 2025.

A handwritten signature in blue ink, appearing to read "Brendan Collins", is written over a horizontal line.

Brendan Collins